

Korea: Government lifts 2026 GDP growth forecast to 3.0%

The government is likely to implement a second supplementary budget funded by extra tax revenue without further KTB Issuance

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- **The government has revised up its 2026 growth forecast to 3.0%** from 2.0% previously, reflecting the strong chip cycle and the government's investment projects. At the same time, the government has set a target to lift potential growth to 3% from current estimates of less than 2% (BOK, OECD). It expects inflation to rise to 2.6% in 2026, before slowing to 2.1%, and it emphasized that inflation remains elevated and pledged to step up efforts to ease price pressures.
- The government will maintain **an active fiscal stance**, while managing inflation, interest rates, FX and housing risks. Additional semiconductor-related tax revenue will finance investment in youth, future industries, regional development and education.
- **The government is likely to implement a second supplementary budget for the 3% growth target** funded by extra tax revenue without further KTB issuance. We expect a limited near-term impact on the BOK's policy reaction function, although active fiscal spending plans support the BOK's hawkish stance. As we believe the BOK's inflation outlook remains largely unchanged, we reiterate our view that the BOK will maintain its quarterly 25bp hike at each of the July 2026, October 2026 and January 2027 meetings (terminal rate: 3.25%).

Government's H2 2026 economic outlook and policy package

Upbeat growth outlook; cautious inflation view

The government has raised its 2026 GDP growth forecast to 3.0% from 2.0% seen early this year (Figure 1), reflecting the strong chip cycle and the government's active fiscal spending, including three mega investment projects. The government expects GDP growth to moderate to 2.2% in 2027.

At the same time, the government expects inflation to rise to 2.6% in 2026, before slowing to 2.1% in 2027, and it emphasized that inflation remains elevated and pledged to step up efforts to ease price pressures.

Long-term policy objectives

The government set a long-term target to lift potential growth to 3% from current estimates of less than 2% (BOK, OECD), led by its mega projects including the large-scale chip cluster in the southwest region. In addition, the government's long-term vision includes Korea becoming one of the world's four largest exporters, and per capital income reaching USD50,000.

Main policy package

The government will maintain an active fiscal stance via a new **Future Preparedness Fund**, which will channel excess tax revenue towards youth, next-generation industries, regional development and education (Figure 2). Its size and detailed operating rules have not yet been fixed. Managing inflation, interest rates, FX and housing risks are key policy objectives for maintaining **macro-financial stability**.

Supply-chain resilience will be strengthened through domestic production incentives, strategic stockpiles, overseas investment and import diversification. The semiconductor, AI data-centre and physical AI mega projects will anchor growth strategy, alongside region-led development.

The package also supports youth employment, housing and SMEs, while pursuing structural reforms including financial markets, the FX market, pension funds and the public sector..

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Fig. 1: Government forecasts

	2026 forecast (January)	Revised 2026 forecasts (July)	2027
Real GDP growth	2.0	3.0	2.2
Nominal GDP growth	4.9	12.3	4.6
Employment (person)	160,000	150,000	170,000
CPI inflation	2.1	2.6	2.2
Current account (USD bn)	135	290	245
Customs exports	4.2	40	1.0
Customs imports	2.0	20	3.0

Note: % y-o-y unless stated otherwise.

Source: MOFE, Nomura Global Economics

Fig. 2: Economic policy package for H2 2026

Policy area	Main measures	Major targets and timetable
Macroeconomic stability	Maintain an active fiscal stance; establish a Future Response Fund using additional semiconductor-related tax revenue; expand public-institution investment and policy finance; operate an integrated monitoring framework covering FX, financial and property markets; stabilise food and energy prices	Public-institution investment increased to KRW72tn; policy finance to KRW638.4tn; construction starts for 12,000 third-new-town homes in H2
Supply-chain and energy security	Establish a four-stage response covering domestic production, strategic reserves, overseas production and import diversification; introduce a domestic-production tax credit; provide low-interest loans for alternative imports; expand oil and critical-mineral reserves; promote K-GX and SMR technologies	Renewable capacity of 100GW by 2030; KRW790tn of climate policy finance over 2026–35; K-GX strategy in Q3
Growth engines	Accelerate the semiconductor, AI-data-centre and physical-AI megaprojects; develop post-HBM memory, AI chips, NPUs, power semiconductors and defence chips; support seven physical-AI sectors; expand investment-style R&D and AI-based drug development	Select new ultra-innovation projects in H2; defence-semiconductor strategy in Q3
Region-led growth	Select growth engines for the five economic poles and three special regions; combine fiscal, financial, tax, regulatory and infrastructure support; direct more national investment toward non-capital regions; proceed with the second relocation of public institutions	Growth engines selected in Q3; at least 40% of the National Growth Fund allocated to regions; Public institutions relocation plan announced in H2 and moves beginning in 2027
Reducing polarisation	Create youth jobs and expand AI training; introduce a youth ISA; supply public rental housing; ease marriage-related housing-loan penalties; phase out SME tax benefits more gradually as firms grow; strengthen support for low-income and non-standard workers	More than 200,000 youth jobs and over 400,000 youth public-rental homes by 2030; youth ISA launched in H1 2027
Structural reform	Shift credit from property toward productive investment; expand DSR coverage and reduce Jeonse-loan guarantees; reform public institutions, tax expenditures and the local education grant; integrate five power-generation companies; strengthen retirement pensions; rationalise regulations and economic penalties	Public-institution reform from Q3; retirement-pension roadmap in August; review administrative and economic penalties within two years

Source: MOFE, Nomura Global Economics

Nomura's view: A second supplementary budget is likely, but without further KTB issuance

The government is likely to use extra tax revenue for a second supplementary budget to achieve the 3% growth target

We believe the government is likely to strengthen its efforts to achieve the 3% growth target by drawing on more fiscal resources. As is widely known, extra tax revenue is likely to amount to ~1% of GDP. The question is how will the government allocate the expected extra tax revenue if it wants to circumvent the National Finance Act, which stipulates that any surplus tax revenue shall be allocated to debt repayment.

As the government will unveil its long-term fiscal strategy in late-August or early-September following interim corporates' tax payments in August (mid-year tax filing and prepayment) and the government will consequently have more details on tax revenue available for further spending, we will have more details later on whether the government will use all extra tax revenue for further spending or will allocate some to repay debt.

Crucially, this additional revenue should fund a second supplementary budget without the need for further KTB issuance. If fiscal spending accelerates in H2 with a supplementary budget rolling out, we expect it to potentially add around 0.2pp to the growth outlook

assuming a fiscal multiplier of 0.2-0.3, posing upside risk to our below-consensus 2026 GDP growth forecast of 2.5%.

Active fiscal spending supports the BOK's hawkish stance

On the BOK, following the government's upbeat projections, we expect the BOK to revise up its 2026 GDP growth forecast to close to the government's projection of 3% at its 27 August meeting. Meanwhile, in the near term, the BOK will also likely highlight that growth momentum should remain solid through this year and reiterate its growth optimism.

That said, we believe this optimism is unlikely to lead to back-to-back hikes, as the BOK's inflation outlook has remained largely unchanged since the May meeting. We maintain our forecast for a quarterly 25bp hike at each of the July 2026, October 2026 and January 2027 meetings (taking the terminal rate to 3.25%).

Appendix A-1

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